IB Economics - Topic 4.1: Teacher and AI Grading Guide

Benefits of International Trade | Questions 1-50

Scope and assessment status

Each original paired question has (a) 10 marks and (b) 15 marks. 30 questions assess SL/HL content; 20 questions are explicitly labelled HL. Difficulty: 10 Easy, 25 Medium, 15 Hard pairs, distributed through the bank. Level and difficulty are independent.

Trade gains, importing/exporting free-trade diagrams, competition, prices, choice, resource access and scale. Comparative advantage, opportunity-cost/PPC calculations and its limitations are HL only.

The uploaded Economics for the IB Diploma textbook (second edition, 2012) was used for conceptual verification. The current guide controls this topic’s numbered scope and HL boundaries.

These are original adapted Paper 1-style practice questions, not official IB examination or marking material. The question bank revisits syllabus mechanisms through distinct explanatory and evaluative tasks; the pairs are alternatives for practice, not separate official learning outcomes.

Coverage blueprint

Trade benefits: Questions 1-10

Import export diagrams: Questions 11-20

Specialisation: Questions 21-30

HL advantage: Questions 31-40

HL limitations: Questions 41-50

Marking principles

Use best-fit assessment for each part, not a fixed marks-per-keyword checklist. Credit accurate alternatives addressing the task. Do not require every example or qualification below.

Part (a): 10 marks

Practice bands: 0; 1-2 limited; 3-4 mainly descriptive; 5-6 partial explanation; 7-8 clear and accurate causal analysis; 9-10 fully developed explanation with any required diagram or calculation. These abbreviated bands are not official IB descriptors.

Part (b): 15 marks

Practice bands: 0; 1-3 very limited; 4-6 superficial; 7-9 developed but weakly balanced; 10-12 balanced analysis and evaluation; 13-15 sustained, applied evaluation and supported judgment. A named case alone is not developed application.

Diagram and AI grading

For each diagram explicitly requested, credit an economically correct alternative with proper axes, equilibrium or reference lines, directions of change, and interpretation. Numerical responses require method, units and an explanation; do not award a final number with a contradictory mechanism.

Record separate marks for (a) and (b), band evidence, diagram or numerical features if relevant, economic misconceptions, quality of real-world application, and one actionable improvement per part. If a student drawing is unclear, flag the uncertainty rather than assuming correctness.

Question 1

Easy | SL/HL | 25 marks

Topic 4.1: Trade benefits

(a) [10] Using a free-trade diagram, explain why an importing country may buy at a lower world price than its domestic equilibrium price.

(b) [15] Using real-world examples, discuss whether cheaper imports always improve economic well-being.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: World price below domestic equilibrium creates excess demand met by imports; consumer gains may accompany producer losses.

Required reasoning. World price below domestic equilibrium creates excess demand met by imports; consumer gains may accompany producer losses.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes trade benefits from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. World price below domestic equilibrium creates excess demand met by imports; consumer gains may accompany producer losses.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why trade benefits may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 2

Medium | SL/HL | 25 marks

Topic 4.1: Trade benefits

(a) [10] Using a free-trade diagram, explain why a country exports a good when its world price exceeds its domestic price.

(b) [15] Using real-world examples, evaluate whether greater exports necessarily raise national well-being.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: World price below domestic equilibrium creates excess demand met by imports; consumer gains may accompany producer losses.

Required reasoning. At higher world price domestic supply exceeds domestic demand; export earnings rise but consumers pay more.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes trade benefits from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. At higher world price domestic supply exceeds domestic demand; export earnings rise but consumers pay more.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why trade benefits may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 3

Hard | SL/HL | 25 marks

Topic 4.1: Trade benefits

(a) [10] Explain how trade can increase the variety of goods available to consumers.

(b) [15] Using real-world examples, discuss whether greater consumer choice is equally valuable to all households.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: World price below domestic equilibrium creates excess demand met by imports; consumer gains may accompany producer losses.

Required reasoning. Imports bring varieties unavailable or costly domestically, subject to income and quality.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes trade benefits from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Imports bring varieties unavailable or costly domestically, subject to income and quality.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why trade benefits may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 4

Medium | SL/HL | 25 marks

Topic 4.1: Trade benefits

(a) [10] Explain how exposure to foreign competitors may reduce production costs.

(b) [15] Using real-world examples, evaluate whether foreign competition always increases productive efficiency.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: World price below domestic equilibrium creates excess demand met by imports; consumer gains may accompany producer losses.

Required reasoning. Rivalry can force innovation and cost control, but adjustment can close viable firms.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes trade benefits from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Rivalry can force innovation and cost control, but adjustment can close viable firms.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why trade benefits may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 5

Medium | SL/HL | 25 marks

Topic 4.1: Trade benefits

(a) [10] Explain why imports of raw materials may raise the productive capacity of domestic firms.

(b) [15] Using real-world examples, discuss whether access to imported resources always supports local industry.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: World price below domestic equilibrium creates excess demand met by imports; consumer gains may accompany producer losses.

Required reasoning. Inputs unavailable domestically can relieve constraints, though supply-chain dependence remains.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes trade benefits from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Inputs unavailable domestically can relieve constraints, though supply-chain dependence remains.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why trade benefits may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 6

Easy | SL/HL | 25 marks

Topic 4.1: Trade benefits

(a) [10] Explain how access to a larger export market may allow a firm to gain economies of scale.

(b) [15] Using real-world examples, evaluate whether exporting always lowers average costs.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: World price below domestic equilibrium creates excess demand met by imports; consumer gains may accompany producer losses.

Required reasoning. Higher output can spread fixed costs, conditional on capacity and logistics.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes trade benefits from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher output can spread fixed costs, conditional on capacity and logistics.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why trade benefits may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 7

Hard | SL/HL | 25 marks

Topic 4.1: Trade benefits

(a) [10] Explain how trade can shift production toward relatively efficient industries.

(b) [15] Using real-world examples, discuss whether reallocation through trade is costless.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: World price below domestic equilibrium creates excess demand met by imports; consumer gains may accompany producer losses.

Required reasoning. Resources can move to more competitive uses, but workers and capital may not move easily.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes trade benefits from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Resources can move to more competitive uses, but workers and capital may not move easily.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why trade benefits may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 8

Medium | SL/HL | 25 marks

Topic 4.1: Trade benefits

(a) [10] Explain how export sales can generate foreign-exchange earnings.

(b) [15] Using real-world examples, evaluate whether higher foreign-exchange earnings guarantee higher development.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: World price below domestic equilibrium creates excess demand met by imports; consumer gains may accompany producer losses.

Required reasoning. Export receipts finance imports, but concentration, distribution and sustainability matter.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes trade benefits from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Export receipts finance imports, but concentration, distribution and sustainability matter.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why trade benefits may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 9

Hard | SL/HL | 25 marks

Topic 4.1: Trade benefits

(a) [10] Explain why import competition can reduce prices even when few imports are purchased.

(b) [15] Using real-world examples, discuss whether potential foreign entry is sufficient to discipline domestic prices.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: World price below domestic equilibrium creates excess demand met by imports; consumer gains may accompany producer losses.

Required reasoning. Threat of entry may constrain markups, unless tariffs or distribution barriers protect incumbents.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes trade benefits from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Threat of entry may constrain markups, unless tariffs or distribution barriers protect incumbents.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why trade benefits may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 10

Medium | SL/HL | 25 marks

Topic 4.1: Trade benefits

(a) [10] Explain how trade can improve efficiency by permitting specialisation.

(b) [15] Using real-world examples, evaluate whether specialisation necessarily increases economic security.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: World price below domestic equilibrium creates excess demand met by imports; consumer gains may accompany producer losses.

Required reasoning. Focusing on relatively efficient output raises gains, but concentration increases shock exposure.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes trade benefits from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Focusing on relatively efficient output raises gains, but concentration increases shock exposure.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why trade benefits may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 11

Easy | SL/HL | 25 marks

Topic 4.1: Import export diagrams

(a) [10] Using a free-trade diagram, explain how opening to imports changes domestic production and consumption.

(b) [15] Using real-world examples, discuss whether import competition necessarily causes permanent unemployment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Lower price raises consumption and reduces local production; displaced workers may find other jobs over time.

Required reasoning. Lower price raises consumption and reduces local production; displaced workers may find other jobs over time.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes import export diagrams from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower price raises consumption and reduces local production; displaced workers may find other jobs over time.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why import export diagrams may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 12

Medium | SL/HL | 25 marks

Topic 4.1: Import export diagrams

(a) [10] Using a free-trade diagram, explain how opening to exports changes domestic production and consumption.

(b) [15] Using real-world examples, evaluate whether consumers in an exporting industry always gain.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Lower price raises consumption and reduces local production; displaced workers may find other jobs over time.

Required reasoning. Higher domestic price encourages output and reduces local consumption, despite producer gains.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes import export diagrams from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher domestic price encourages output and reduces local consumption, despite producer gains.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why import export diagrams may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 13

Hard | SL/HL | 25 marks

Topic 4.1: Import export diagrams

(a) [10] Using a free-trade diagram, explain why the difference between domestic demand and supply at the world price equals imports.

(b) [15] Using real-world examples, discuss whether a larger import volume implies a failing domestic economy.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Lower price raises consumption and reduces local production; displaced workers may find other jobs over time.

Required reasoning. Imports are quantity demanded minus supplied at the world price; income and demand growth may raise them.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes import export diagrams from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Imports are quantity demanded minus supplied at the world price; income and demand growth may raise them.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why import export diagrams may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 14

Medium | SL/HL | 25 marks

Topic 4.1: Import export diagrams

(a) [10] Using a free-trade diagram, explain why the difference between domestic supply and demand at the world price equals exports.

(b) [15] Using real-world examples, evaluate whether an export boom always raises local employment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Lower price raises consumption and reduces local production; displaced workers may find other jobs over time.

Required reasoning. Exports are supply minus demand at the world price; technology and labour intensity affect jobs.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes import export diagrams from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Exports are supply minus demand at the world price; technology and labour intensity affect jobs.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why import export diagrams may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 15

Medium | SL/HL | 25 marks

Topic 4.1: Import export diagrams

(a) [10] Explain how the size of a country's gains from cheaper imports can depend on domestic demand responsiveness.

(b) [15] Using real-world examples, discuss whether falling import prices benefit every consumer by the same amount.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Lower price raises consumption and reduces local production; displaced workers may find other jobs over time.

Required reasoning. Consumer price and quantity effects differ with preferences and access.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes import export diagrams from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Consumer price and quantity effects differ with preferences and access.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why import export diagrams may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 16

Easy | SL/HL | 25 marks

Topic 4.1: Import export diagrams

(a) [10] Explain why a higher world price can change an exporting country's internal distribution of gains.

(b) [15] Using real-world examples, evaluate whether export producers should be the only concern in trade policy.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Lower price raises consumption and reduces local production; displaced workers may find other jobs over time.

Required reasoning. Producers gain revenue while domestic buyers face higher prices; income distribution matters.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes import export diagrams from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Producers gain revenue while domestic buyers face higher prices; income distribution matters.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why import export diagrams may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 17

Hard | SL/HL | 25 marks

Topic 4.1: Import export diagrams

(a) [10] Explain why a world price between two countries' autarky prices can create two-way gains from trade.

(b) [15] Using real-world examples, discuss whether both countries gain equally from the same trade agreement.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Lower price raises consumption and reduces local production; displaced workers may find other jobs over time.

Required reasoning. A common trading price may favour both relative to autarky while gains are unequal.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes import export diagrams from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A common trading price may favour both relative to autarky while gains are unequal.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why import export diagrams may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 18

Medium | SL/HL | 25 marks

Topic 4.1: Import export diagrams

(a) [10] Explain why domestic producers may oppose a fall in import prices that benefits consumers.

(b) [15] Using real-world examples, evaluate whether consumer gains should outweigh producer losses in trade policy.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Lower price raises consumption and reduces local production; displaced workers may find other jobs over time.

Required reasoning. Lower price reduces domestic producer revenue and expands consumption; adjustment costs affect judgment.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes import export diagrams from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower price reduces domestic producer revenue and expands consumption; adjustment costs affect judgment.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why import export diagrams may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 19

Hard | SL/HL | 25 marks

Topic 4.1: Import export diagrams

(a) [10] Explain why an export industry can expand when foreign demand raises the world price.

(b) [15] Using real-world examples, discuss whether higher export prices always improve the domestic current account.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Lower price raises consumption and reduces local production; displaced workers may find other jobs over time.

Required reasoning. Higher price increases output offered abroad, but export demand, imports and quantities matter.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes import export diagrams from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher price increases output offered abroad, but export demand, imports and quantities matter.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why import export diagrams may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 20

Medium | SL/HL | 25 marks

Topic 4.1: Import export diagrams

(a) [10] Explain how international trade can reduce the domestic scarcity of a good.

(b) [15] Using real-world examples, evaluate whether import access is reliable during global supply shocks.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Lower price raises consumption and reduces local production; displaced workers may find other jobs over time.

Required reasoning. Imports bridge domestic demand-supply gap, but global scarcity or disruption can limit supply.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes import export diagrams from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Imports bridge domestic demand-supply gap, but global scarcity or disruption can limit supply.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why import export diagrams may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 21

Easy | SL/HL | 25 marks

Topic 4.1: Specialisation

(a) [10] Explain how specialisation can increase output from a given quantity of resources.

(b) [15] Using real-world examples, discuss whether the gains from specialisation reach workers in every sector.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Resources shift toward productive uses, creating uneven sectoral gains.

Required reasoning. Resources shift toward productive uses, creating uneven sectoral gains.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes specialisation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Resources shift toward productive uses, creating uneven sectoral gains.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why specialisation may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 22

Medium | SL/HL | 25 marks

Topic 4.1: Specialisation

(a) [10] Explain why trade may encourage innovation in exporting industries.

(b) [15] Using real-world examples, evaluate whether export exposure always raises productivity.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Resources shift toward productive uses, creating uneven sectoral gains.

Required reasoning. Larger markets and rivalry reward process improvements; financing and skills constrain responses.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes specialisation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Larger markets and rivalry reward process improvements; financing and skills constrain responses.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why specialisation may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 23

Hard | SL/HL | 25 marks

Topic 4.1: Specialisation

(a) [10] Explain how imported intermediate goods can lower domestic firms' costs.

(b) [15] Using real-world examples, discuss whether import restrictions can harm exporters.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Resources shift toward productive uses, creating uneven sectoral gains.

Required reasoning. Cheaper inputs reduce unit costs and support exports; protection may raise costs.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes specialisation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Cheaper inputs reduce unit costs and support exports; protection may raise costs.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why specialisation may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 24

Medium | SL/HL | 25 marks

Topic 4.1: Specialisation

(a) [10] Explain why a wider market may support specialised suppliers.

(b) [15] Using real-world examples, evaluate whether trade-dependent specialisation is too risky for a small economy.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Resources shift toward productive uses, creating uneven sectoral gains.

Required reasoning. Scale supports niche output, but reliance on few markets increases vulnerability.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes specialisation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Scale supports niche output, but reliance on few markets increases vulnerability.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why specialisation may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 25

Medium | SL/HL | 25 marks

Topic 4.1: Specialisation

(a) [10] Explain how the acquisition of goods unavailable domestically can raise living standards.

(b) [15] Using real-world examples, discuss whether importing essential goods creates harmful dependence.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Resources shift toward productive uses, creating uneven sectoral gains.

Required reasoning. Trade broadens access, while supply reliability and affordability need evaluation.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes specialisation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Trade broadens access, while supply reliability and affordability need evaluation.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why specialisation may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 26

Easy | SL/HL | 25 marks

Topic 4.1: Specialisation

(a) [10] Explain why trade can improve resource allocation even without raising every firm's profits.

(b) [15] Using real-world examples, evaluate whether displaced producers can be compensated for trade losses.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Resources shift toward productive uses, creating uneven sectoral gains.

Required reasoning. Resources and buyers move to more efficient uses; transition support has costs.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes specialisation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Resources and buyers move to more efficient uses; transition support has costs.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why specialisation may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 27

Hard | SL/HL | 25 marks

Topic 4.1: Specialisation

(a) [10] Explain how economies of scale from exporting can reduce a firm's average cost.

(b) [15] Using real-world examples, discuss whether the cost savings necessarily pass to consumers.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Resources shift toward productive uses, creating uneven sectoral gains.

Required reasoning. Higher output spreads fixed costs; competitive pressure determines price pass-through.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes specialisation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher output spreads fixed costs; competitive pressure determines price pass-through.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why specialisation may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 28

Medium | SL/HL | 25 marks

Topic 4.1: Specialisation

(a) [10] Explain why trade may allow countries to consume beyond their own production possibilities.

(b) [15] Using real-world examples, evaluate whether this possibility guarantees better welfare for every household.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Resources shift toward productive uses, creating uneven sectoral gains.

Required reasoning. Exchange permits consumption bundles unavailable under autarky, but distribution and environmental costs vary.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes specialisation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Exchange permits consumption bundles unavailable under autarky, but distribution and environmental costs vary.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why specialisation may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 29

Hard | SL/HL | 25 marks

Topic 4.1: Specialisation

(a) [10] Explain how the productivity gains from specialisation can affect wages.

(b) [15] Using real-world examples, discuss whether trade-induced productivity always lifts low-skilled wages.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Resources shift toward productive uses, creating uneven sectoral gains.

Required reasoning. Higher output per worker can raise earnings, while bargaining and sector shifts affect pay.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes specialisation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher output per worker can raise earnings, while bargaining and sector shifts affect pay.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why specialisation may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 30

Medium | SL/HL | 25 marks

Topic 4.1: Specialisation

(a) [10] Explain why a country with a small domestic market may benefit from access to foreign demand.

(b) [15] Using real-world examples, evaluate whether an export-led strategy is sufficient for sustained growth.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Resources shift toward productive uses, creating uneven sectoral gains.

Required reasoning. Foreign buyers allow scale, but volatility and domestic institutions condition lasting gains.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes specialisation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Foreign buyers allow scale, but volatility and domestic institutions condition lasting gains.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why specialisation may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 31

Easy | HL | 25 marks

Topic 4.1: HL advantage

(a) [10] Using linear PPC diagrams, explain how differing opportunity costs can generate gains from specialisation.

(b) [15] Using real-world examples, evaluate whether comparative advantage predicts actual trade patterns accurately.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Different slopes imply relative costs; exchange at a price between opportunity costs can benefit both.

Required reasoning. Different slopes imply relative costs; exchange at a price between opportunity costs can benefit both.

Expected diagram or calculation. Plot two goods on each country’s axes and draw linear PPCs with different slopes; use the slopes to identify lower opportunity cost, show relevant specialisation and a trading consumption possibility beyond domestic PPC at mutually beneficial terms of trade.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl advantage from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Different slopes imply relative costs; exchange at a price between opportunity costs can benefit both.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why hl advantage may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 32

Medium | HL | 25 marks

Topic 4.1: HL advantage

(a) [10] Explain the difference between absolute advantage and comparative advantage.

(b) [15] Using real-world examples, discuss whether a country needs an absolute advantage to gain from trade.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Different slopes imply relative costs; exchange at a price between opportunity costs can benefit both.

Required reasoning. Absolute advantage compares output per input; comparative advantage compares opportunity cost.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl advantage from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Absolute advantage compares output per input; comparative advantage compares opportunity cost.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why hl advantage may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 33

Hard | HL | 25 marks

Topic 4.1: HL advantage

(a) [10] Explain why a country can have comparative advantage in a good even if it is less productive in both goods.

(b) [15] Using real-world examples, evaluate whether weaker economies can still benefit from trade.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Different slopes imply relative costs; exchange at a price between opportunity costs can benefit both.

Required reasoning. Relative opportunity cost rather than absolute productivity identifies the cheaper sacrifice.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl advantage from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Relative opportunity cost rather than absolute productivity identifies the cheaper sacrifice.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why hl advantage may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 34

Medium | HL | 25 marks

Topic 4.1: HL advantage

(a) [10] Explain how opportunity cost determines which good a country should specialise in.

(b) [15] Using real-world examples, discuss whether specialisation should always be complete.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Different slopes imply relative costs; exchange at a price between opportunity costs can benefit both.

Required reasoning. Lower forgone alternative output guides specialisation; increasing costs and risk may favour diversification.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl advantage from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower forgone alternative output guides specialisation; increasing costs and risk may favour diversification.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why hl advantage may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 35

Medium | HL | 25 marks

Topic 4.1: HL advantage

(a) [10] Using PPC diagrams, explain why the terms of trade must lie between countries' opportunity costs for both to gain.

(b) [15] Using real-world examples, evaluate whether bargaining power can affect the division of gains.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Different slopes imply relative costs; exchange at a price between opportunity costs can benefit both.

Required reasoning. A mutually beneficial trading rate lies between autarky cost ratios, but negotiated price shifts surplus.

Expected diagram or calculation. Plot two goods on each country’s axes and draw linear PPCs with different slopes; use the slopes to identify lower opportunity cost, show relevant specialisation and a trading consumption possibility beyond domestic PPC at mutually beneficial terms of trade.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl advantage from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A mutually beneficial trading rate lies between autarky cost ratios, but negotiated price shifts surplus.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why hl advantage may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 36

Easy | HL | 25 marks

Topic 4.1: HL advantage

(a) [10] Explain why differences in factor endowments can create comparative advantage.

(b) [15] Using real-world examples, discuss whether natural resources guarantee a lasting trading advantage.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Different slopes imply relative costs; exchange at a price between opportunity costs can benefit both.

Required reasoning. Abundant factors can lower relative opportunity cost, while skills and technology change it.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl advantage from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Abundant factors can lower relative opportunity cost, while skills and technology change it.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why hl advantage may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 37

Hard | HL | 25 marks

Topic 4.1: HL advantage

(a) [10] Explain how technological differences can alter a country's comparative advantage over time.

(b) [15] Using real-world examples, evaluate whether historical specialisation should determine future trade policy.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Different slopes imply relative costs; exchange at a price between opportunity costs can benefit both.

Required reasoning. Productivity changes alter relative opportunity costs and prospective gains.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl advantage from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Productivity changes alter relative opportunity costs and prospective gains.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why hl advantage may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 38

Medium | HL | 25 marks

Topic 4.1: HL advantage

(a) [10] Explain why a country with absolute advantage in both goods may still benefit from trade.

(b) [15] Using real-world examples, discuss whether the more productive partner always captures most of the gains.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Different slopes imply relative costs; exchange at a price between opportunity costs can benefit both.

Required reasoning. It still sacrifices relatively more of one good and can specialise according to comparative advantage.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl advantage from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. It still sacrifices relatively more of one good and can specialise according to comparative advantage.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why hl advantage may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 39

Hard | HL | 25 marks

Topic 4.1: HL advantage

(a) [10] Using a PPC diagram, explain how trade can permit consumption beyond domestic production possibilities.

(b) [15] Using real-world examples, evaluate whether the measured output gain is the only benefit of trade.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Different slopes imply relative costs; exchange at a price between opportunity costs can benefit both.

Required reasoning. Specialise at a feasible PPC point and exchange at favourable terms to reach a consumption point beyond PPC.

Expected diagram or calculation. Plot two goods on each country’s axes and draw linear PPCs with different slopes; use the slopes to identify lower opportunity cost, show relevant specialisation and a trading consumption possibility beyond domestic PPC at mutually beneficial terms of trade.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl advantage from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Specialise at a feasible PPC point and exchange at favourable terms to reach a consumption point beyond PPC.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why hl advantage may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 40

Medium | HL | 25 marks

Topic 4.1: HL advantage

(a) [10] Explain how changing opportunity costs as production expands can limit complete specialisation.

(b) [15] Using real-world examples, discuss whether partial specialisation weakens the case for trade.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Different slopes imply relative costs; exchange at a price between opportunity costs can benefit both.

Required reasoning. With increasing marginal opportunity cost, the advantage can diminish before all resources move.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl advantage from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. With increasing marginal opportunity cost, the advantage can diminish before all resources move.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why hl advantage may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 41

Easy | HL | 25 marks

Topic 4.1: HL limitations

(a) [10] Explain why transport costs can reduce the gains predicted by comparative advantage.

(b) [15] Using real-world examples, evaluate whether a lower foreign production cost always leads to imports.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Shipping and coordination add to delivered price and may exceed the cost gap.

Required reasoning. Shipping and coordination add to delivered price and may exceed the cost gap.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl limitations from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Shipping and coordination add to delivered price and may exceed the cost gap.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why hl limitations may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 42

Medium | HL | 25 marks

Topic 4.1: HL limitations

(a) [10] Explain why workers displaced by specialisation may not move quickly into exporting industries.

(b) [15] Using real-world examples, discuss whether aggregate gains from trade justify short-run job losses.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Shipping and coordination add to delivered price and may exceed the cost gap.

Required reasoning. Skills, location and adjustment time create uneven transitional costs.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl limitations from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Skills, location and adjustment time create uneven transitional costs.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why hl limitations may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 43

Hard | HL | 25 marks

Topic 4.1: HL limitations

(a) [10] Explain how economies of scale can complicate a model based on fixed opportunity costs.

(b) [15] Using real-world examples, evaluate whether comparative advantage alone explains the location of industries.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Shipping and coordination add to delivered price and may exceed the cost gap.

Required reasoning. Dynamic scale gains can change cost ranking after market access expands.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl limitations from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Dynamic scale gains can change cost ranking after market access expands.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why hl limitations may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 44

Medium | HL | 25 marks

Topic 4.1: HL limitations

(a) [10] Explain why a country dependent on one primary export may face unstable trade earnings.

(b) [15] Using real-world examples, discuss whether comparative advantage supports unlimited specialisation in commodities.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Shipping and coordination add to delivered price and may exceed the cost gap.

Required reasoning. Price volatility can erode welfare and macroeconomic stability despite relative cost advantage.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl limitations from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Price volatility can erode welfare and macroeconomic stability despite relative cost advantage.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why hl limitations may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 45

Medium | HL | 25 marks

Topic 4.1: HL limitations

(a) [10] Explain how trade barriers can prevent countries from realising comparative-advantage gains.

(b) [15] Using real-world examples, evaluate whether eliminating tariffs is sufficient for the gains to occur.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Shipping and coordination add to delivered price and may exceed the cost gap.

Required reasoning. Tariffs and standards change effective prices; infrastructure and institutions also constrain trade.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl limitations from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Tariffs and standards change effective prices; infrastructure and institutions also constrain trade.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why hl limitations may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 46

Easy | HL | 25 marks

Topic 4.1: HL limitations

(a) [10] Explain why environmental damage may be excluded from a simple comparative-advantage model.

(b) [15] Using real-world examples, discuss whether a low private opportunity cost implies a social advantage.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Shipping and coordination add to delivered price and may exceed the cost gap.

Required reasoning. Unpriced pollution can make the apparent cost ranking socially misleading.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl limitations from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Unpriced pollution can make the apparent cost ranking socially misleading.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why hl limitations may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 47

Hard | HL | 25 marks

Topic 4.1: HL limitations

(a) [10] Explain how changing exchange rates can affect the realised price advantage of exports.

(b) [15] Using real-world examples, evaluate whether comparative advantage guarantees stable export sales.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Shipping and coordination add to delivered price and may exceed the cost gap.

Required reasoning. Currency moves change market prices even if physical opportunity costs are unchanged.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl limitations from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Currency moves change market prices even if physical opportunity costs are unchanged.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why hl limitations may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 48

Medium | HL | 25 marks

Topic 4.1: HL limitations

(a) [10] Explain why unequal bargaining power can affect the division of trade gains.

(b) [15] Using real-world examples, discuss whether mutually beneficial trade must distribute benefits fairly.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Shipping and coordination add to delivered price and may exceed the cost gap.

Required reasoning. The terms of exchange determine relative shares of gains, distinct from their existence.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl limitations from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. The terms of exchange determine relative shares of gains, distinct from their existence.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why hl limitations may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 49

Hard | HL | 25 marks

Topic 4.1: HL limitations

(a) [10] Explain how changes in consumer preferences may reduce the market for a specialised export.

(b) [15] Using real-world examples, evaluate whether specialisation is always preferable to diversification.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Shipping and coordination add to delivered price and may exceed the cost gap.

Required reasoning. Relative efficiency does not eliminate demand risk from shifting preferences.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl limitations from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Relative efficiency does not eliminate demand risk from shifting preferences.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why hl limitations may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 50

Medium | HL | 25 marks

Topic 4.1: HL limitations

(a) [10] Explain why a static comparative-advantage calculation may omit the long-run effects of learning.

(b) [15] Using real-world examples, discuss whether countries should always specialise according to present costs.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trade changes domestic price and quantity relative to autarky; net gains can coexist with uneven stakeholder outcomes. Comparative advantage is based on relative opportunity cost. Specifically: Shipping and coordination add to delivered price and may exceed the cost gap.

Required reasoning. Investment and learning can change future productivity and opportunity costs.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl limitations from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Investment and learning can change future productivity and opportunity costs.

Counterargument and conditions. Trade gains are uneven and shipping, market access, adjustment and environmental costs can change the net assessment. For this focus, consider why hl limitations may have a different effect across countries.

Application and real-world example. WTO tariff/trade profiles and World Bank trade examples can ground a named export or import case; distinguish observed price changes from claimed welfare gains. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Sources and scope

The current IB Economics guide controls syllabus boundaries. The uploaded Economics for the IB Diploma, second edition (2012), is a supplementary conceptual check; its older chapter sequence and content cannot expand the current specification. Real-world examples are optional and should be checked against their cited sources.

IB guide. Current Economics guide, Unit 4 Topic 4.1; syllabus scope, diagrams, calculations and SL/HL boundaries.

Open source

WTO. International tariff and trade profile data.

Open source

World Bank. Trade and development context.

Open source

Final checks

50 paired questions; 10 Easy, 25 Medium, 15 Hard; 30 questions assess SL/HL content; 20 questions are explicitly labelled HL. The student paper contains no answers or difficulty labels.